



Informed Buyer

When buyers are more informed, they select the option that is the best fit for their needs at the lowest price, which reduces industry profitability.



Uninformed Buyer

In industries where the buyers are not very well-informed, firms can increase the prices, as the buyer is not aware of possible cheaper choices and other possible choices.



Uninformed Buyer



In many cases, the purchase may not be very critical as it can be a one-time purchase or a small percentage of the total income, and thus the buyer is ignorant of the choices that they may have.